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Project Management 3.3

Project Appraisal

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Learning Outcomes

- By the end of this week, you will be able to:
  - Estimate project costs and times
  - State why estimations are used
  - Discuss the differences between different estimation methods
  - Identify the need estimations
  - Give relevant estimation examples

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Project Appraisal

- Definition:
- There are many definitions
  - But the appraisal of a project would include initial assessment of the problem, problem definition, and long-list of project options to deal with the issue. Then, additional consultation and the development of a short list of options, doing a more detailed assessment of the options and trade-offs, compare these and select the final project option based on benefits and a clear understanding of the problem horizon.

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Why Appraise Projects?

- One of the many things that can go wrong is selecting the wrong option
- This happens more often than you would think!
- A bad proposal can itself lead to a bad project, where objectives may not be clearly defined
- In the end, we are looking to get the **benefits** from the project
- This can be an area of weakness – not identifying the real problem the business has

OR

- Not really understanding the benefits desired.

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A Critical Task

- There are many types of appraisal
  - Project Appraisal (feasibility)
  - Technical Appraisal
  - Commercial Appraisal
  - Financial Appraisal
  - Organisational Appraisal
  - Economic Appraisal

In the end, we are seeking to EVALUATE.

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Some benefits cannot be measured financially

- Preservation of a historic building
- A feeling of pride generated by a project (London Olympics)
- Environmental Conservation
- Customer satisfaction
  - These are non tangible benefits.

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Evaluating Projects

- Projects are hugely wide and varied
- Evaluation will be different for different kinds of projects
- Organisations will have many ways in which they may wish to evaluate projects
- What can you do to evaluate well?

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How do we evaluate potential projects?

- Basic Filters
  - Legal, Moral, Financial
- Simulation
  - E.g. computer based modelling of changed physical processes
- Sand box
  - E.g. physical models and mock ups
- Peer review
  - E.g. by experts in the same field
- Score / Rank
  - E.g. by focus groups.

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How do we assess how projects will fit with business strategy?

- Does the project support our existing strategic direction?
  - Markets, market share, attitude to risk etc
- What impact does the project have on our customers?
  - If we launch new software will we continue to support legacy systems?

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All about getting the benefit

- In order to get benefits, we have to assess the project – is this a good idea?
- **These areas are integrally connected, not separate from each other**
- This means that all resources have to be identified, and a reasonable tolerance built in to the project resources to account for the unexpected
  - Key stakeholders have been identified and concurrence sought
  - Financial figures are complete
  - Option selected with justification.

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Some measures used during the appraisal process

FINANCIAL	ECONOMIC	SOCIAL
Internal Rate of Return	Internal Economic Rate of Return	Jobs created
Debt Service Cover	Domestic Cost per $ earned or saved	Size of Loan
Average Weight Cost of Funds	Effective Rate of Protection	% local content
Fixed Assets Cover to Debt	Value added in manufacture	Impact on income distribution

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Objectives

- Objectives may not always be financial
- You will need to assess technical components – layout, facilities, engineering procedures
- You need to think about how the project may improve human and institutional capabilities
- Financial and Economic aspects – these get more press, but are not always the key things that make a project valuable
- Requires analysing organisational and local conditions.